HOUSE BILL 2600
By Love

SENATE BILL 2515

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 4; Title 8; Title 9; Title 13, Chapter 7; Title 29; Title 48; Title 53 and Title 67, relative to mutual aid organizations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Volunteer Communities Act."

SECTION 2. Tennessee Code Annotated, Title 48, Chapter 101, is amended by adding the following as a new part:

48-101-1001. Part definitions.

As used in this part:

(1) "Community" means a group of individuals connected by geography, shared circumstances, or common needs who participate in mutual aid activities;

(2) "Mutual aid organization" means an unincorporated association or nonprofit corporation organized primarily to provide mutual support and assistance within a community or neighborhood through:

(A) Pooling and sharing of resources;

(B) Cooperative provision of goods or services;

(C) Emergency assistance; or

(D) Community-based support systems; and

(3) "Qualified mutual aid organization" means a mutual aid organization that:

(A) Receives less than one hundred thousand dollars ($100,000) in total annual revenue, including donations, grants, and all other receipts;

(B) Is not required to file IRS Form 990, 990-EZ, or 990-PF;

(C) Provides opportunities for all participants to have a voice in decisions about resource distribution and priorities;

(D) Operates on the principle that those receiving assistance may also contribute assistance to others in the community; and

(E) Maintains open access to individuals within the community served.

48-101-1002. Registration.

(a) A mutual aid organization may register with the secretary of state by filing articles of organization or other documentation containing the following:

(1) Name and principal address of the organization;

(2) Statement of mutual aid purposes;

(3) Description of community served;

(4) Certification of community governance structure;

(5) Estimate of annual revenue; and

(6) A registration fee not to exceed fifty dollars ($50.00).

(b) Unregistered mutual aid organizations retain all common law rights of voluntary associations.

(c) Registered mutual aid organizations shall file annual reports showing:

(1) Approximate number of individuals served;

(2) Types of mutual aid provided;

(3) Total annual revenue for the prior year; and

(4) Certification of continued community governance.

48-101-1003. Scale limitation.

(a) If a qualified mutual aid organization exceeds one hundred thousand dollars ($100,000) in annual revenue or becomes required to file IRS Form 990, 990-EZ, or 990-PF, then:

(1) The organization shall notify the secretary of state within sixty (60) days;

(2) The organization has twelve (12) months from the end of the fiscal year in which it exceeded the threshold to:

(A) Reduce annual revenue below the threshold; or

(B) Obtain federal tax-exempt status under 26 U.S.C. § 501(c)(3) or 26 U.S.C. § 501(c)(4) and incorporate as a nonprofit corporation under chapters 51 - 68 of this title; and

(3)

(A) Tax credits and exemptions issued under §§ 67-4-2024, 67-4-2025, 67-5-228, and 67-6-344 cease at the end of the twelve-month transition period unless the organization demonstrates compliance with subdivision (a)(2)(A) or (a)(2)(B); and

(B) Liability, food, and zoning protections authorized under §§ 29-34-217, 29-34-218, 53-13-102, and 13-7-121 cease at the end of the twelve-month transition period unless the organization demonstrates compliance with subdivision (a)(2)(B), regardless of whether the organization exceeds the annual revenue limitation.

(b) The secretary of state, in consultation with the department of economic and community development, shall:

(1) Develop and make available model organizational documents for mutual aid organizations transitioning to federal nonprofit status;

(2) Provide or arrange for technical assistance on federal tax-exempt application procedures;

(3) Maintain a list of pro bono legal resources and nonprofit support organizations; and

(4) Create a simplified guide to nonprofit governance requirements.

(c) The secretary of state may adopt rules to implement this section.

48-101-1004. State agency cooperation.

(a) All departments, agencies, and instrumentalities of state government are authorized and encouraged to:

(1) Recognize mutual aid organizations as eligible service providers where consistent with federal law and program requirements;

(2) Develop streamlined application, licensing, and compliance procedures for mutual aid organizations;

(3) Establish reduced fee schedules for mutual aid organizations providing services at or below cost to community participants;

(4) Provide technical assistance to mutual aid organizations seeking to participate in state programs;

(5) Give preference to mutual aid organizations in procurement when cost and quality are substantially equivalent; and

(6) Enter into partnerships with mutual aid organizations to deliver services that serve the public welfare.

(b) Each state agency shall, on or before July 1, 2027, review its rules and procedures to identify opportunities to facilitate mutual aid organization participation in relevant programs and shall report its findings and recommendations to the general assembly.

(c) This section does not require an agency action that conflicts with federal law or would jeopardize federal funding.

SECTION 3. Tennessee Code Annotated, Title 67, Chapter 4, Part 20, is amended by adding the following as new sections:

67-4-2024.

Subject to § 48-101-1003, qualified mutual aid organizations registered under title 48, chapter 101, part 10 are exempt from the payment of taxes imposed by this part and by the Franchise Tax Law of 1999, compiled in part 21 of this chapter, on income derived from mutual aid activities.

67-4-2025.

(a) Subject to § 48-101-1003, a person making a contribution to a qualified mutual aid organization, as defined in § 48-101-1001, may claim a tax credit against the person's combined franchise and excise tax liability equal to fifty percent (50%) of the contribution, but not to exceed five thousand dollars ($5,000).

(b) The credit must not exceed the taxpayer's total franchise and excise tax liability for the taxable year.

(c) The department shall establish procedures for claiming the credit.

SECTION 4. Tennessee Code Annotated, Title 67, Chapter 6, Part 3, is amended by adding the following as a new section:

67-6-344.

Subject to § 48-101-1003, sales of tangible personal property to qualified mutual aid organizations, as defined in § 48-101-1001, are exempt from sales and use tax imposed by this chapter, if the property:

(1) Is purchased for distribution to community participants at no charge or at cost; or

(2) Is used in providing direct mutual aid services.

SECTION 5. Tennessee Code Annotated, Title 67, Chapter 5, Part 2, is amended by adding the following as a new section:

67-5-228.

Subject to § 48-101-1003, real and personal property owned by a qualified mutual aid organization, as defined in § 48-101-1001, that is established for nonprofit, mutual aid purposes and which property is used exclusively for such purposes is exempt from ad valorem taxation.

SECTION 6. Tennessee Code Annotated, Title 29, Chapter 34, Part 2, is amended by adding the following as new sections:

29-34-217. Volunteer protection.

(a) A person who voluntarily provides services or goods through a qualified mutual aid organization, as defined in § 48-101-1001, is not liable for civil damages resulting from any act or omission in providing such assistance, and is not subject to a civil suit of any nature arising out of providing such assistance, except for:

(1) Acts or omissions constituting gross negligence, recklessness, or intentional misconduct; or

(2) Acts or omissions that violate criminal law.

(b) This section applies regardless of whether the qualified mutual aid organization is registered under title 48, chapter 101, part 10, and is subject to § 48-101-1003.

29-34-218. Premises liability protection.

Subject to § 48-101-1003, a person who permits the person's property to be used for activities of a qualified mutual aid organization, as defined in § 48-101-1001, without compensation is not liable for civil damages arising from such use, and is not subject to a civil suit of any nature arising out of such use, except for gross negligence or willful or wanton conduct.

SECTION 7. Tennessee Code Annotated, Section 53-13-102, is amended by adding the following as a new subsection:

(d) **Food sharing protection.**

(1) A person or qualified mutual aid organization, as defined in § 48-101-1001, that donates apparently healthy food in good faith for free distribution is not subject to a criminal penalty for the violation of unfair trade practice laws or civil damages arising from the condition of the food, unless an injury is caused by the gross negligence, recklessness, or intentional conduct of the person or organization.

(2) As used in this subsection (d), "apparently healthy food" means:

(A) Home-prepared food shared through mutual aid networks;

(B) Food that is suitable for consumption, even though the food is not readily marketable due to appearance; age; freshness, including bearing a past-due expiration date, sell-by date, use-by date, or other date; grade; size; surplus; or other condition; and

(C) Gleaned or foraged food.

(3) This subsection (d) supplements, but does not replace, protections under the Bill Emerson Good Samaritan Food Donation Act (42 U.S.C. § 1791), and is subject to § 48-101-1003.

SECTION 8. Tennessee Code Annotated, Title 13, Chapter 7, Part 1, is amended by adding the following as new sections:

13-7-120. Municipal and county powers.

(a) In addition to any other authority, municipalities and counties may:

(1) Make grants to qualified mutual aid organizations, as defined in § 48-101-1001, operating within their jurisdiction;

(2) Enter into contracts with qualified mutual aid organizations for the provision of services;

(3) Provide meeting space, storage facilities, equipment, or other in-kind support;

(4) Establish mutual aid support zones with streamlined permitting; and

(5) Create public-private partnerships with qualified mutual aid organizations.

(b) Expenditures authorized by this section constitute valid public purposes.

(c) Grants or contracts under subsection (a) must require:

(1) Demonstration that the qualified mutual aid organization serves a public purpose;

(2) Annual reporting on services provided; and

(3) Compliance with community governance requirements of § 48-101-1004.

13-7-121. Zoning protection.

(a) Subject to § 48-101-1003, the following mutual aid activities of a qualified mutual aid organization must be considered customary accessory uses conducted in a residential zone:

(1) Food preparation and distribution;

(2) Childcare cooperatives serving community participants;

(3) Tool libraries and equipment sharing;

(4) Community health clinics; and

(5) Educational programs.

(b) Local governments may establish reasonable time, place, and manner restrictions, but shall not prohibit mutual aid activities outright.

SECTION 9.

(a) This act must be liberally construed to facilitate mutual aid and community self-reliance.

(b) This act does not:

(1) Require registration or compliance for informal mutual aid; or

(2) Limit common law rights of voluntary association.

SECTION 10. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 11. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 12. This act takes effect July 1, 2026, the public welfare requiring it.